

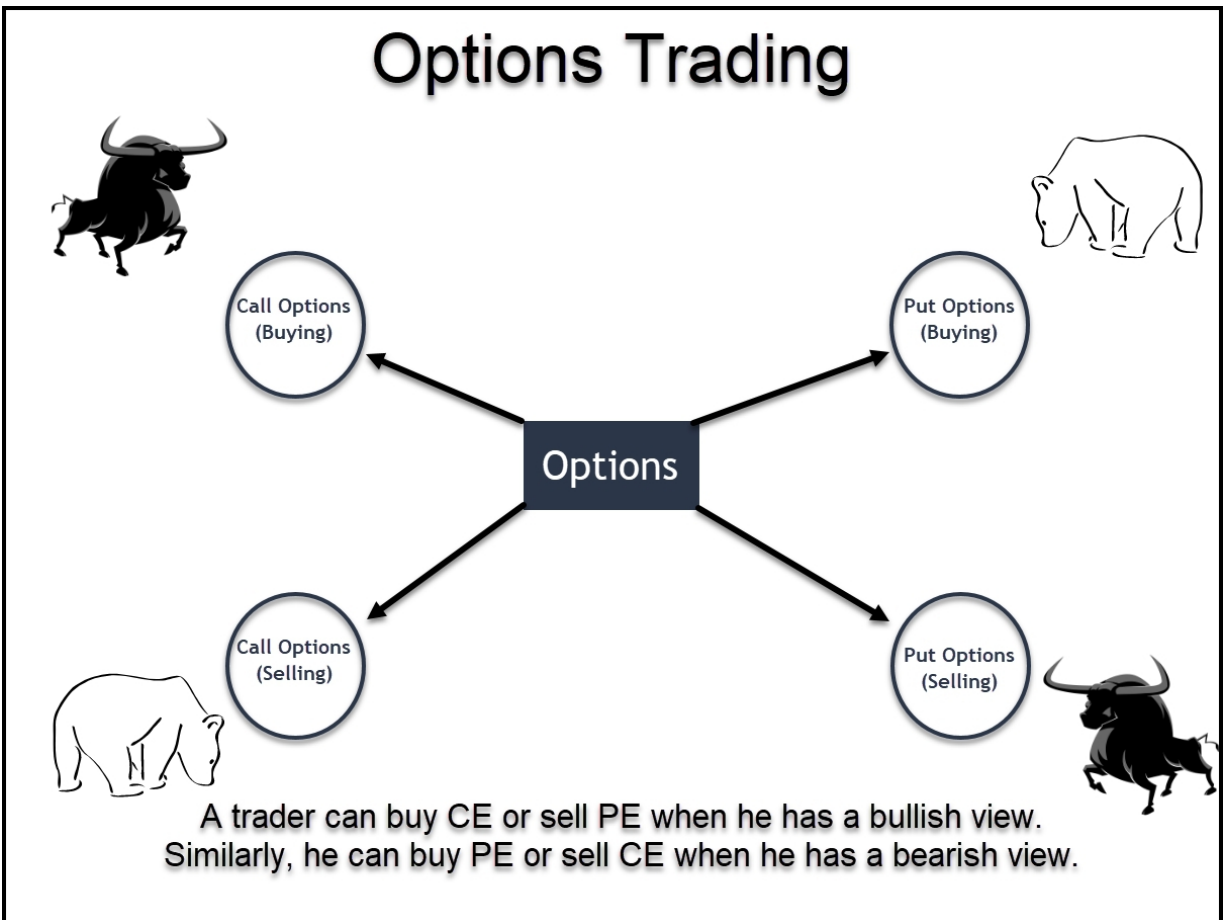


Image 8.1 – Options Trading

If a trader buys CE (anticipating the price will go up) or PE (anticipating the price will go down), it is recognized as a 'Long' position in options trading (option buyer).

Suppose if a trader sells CE (anticipating the price will go down), or PE (anticipating the price will go up), it is recognized as a 'Short' position in options (option seller or option writer).

ITM, ATM, and OTM Options

A trader should know how picking a strike price will change the success probability and ROI of the trade. Hence, a basic understanding of In-the-money (ITM), At-the-money (ATM), and Out-of-the-money (OTM) options are necessary.